

Daily Multibagger Coverage Report — 2026-09-16

One stock picked at random, without repeats until each list cycles through, from four market-cap bands. **Nifty 50 is a reliable list; the Midcap 100 / Smallcap 250 / Microcap 250 lists are hand-curated representative samples, not a live scrape of the official NSE index membership** — those official sources were unreachable from this environment. Every figure below is tagged by the framework's own Tier 1-5 source hierarchy in the underlying dossier files; most of today's figures are Tier 3 (aggregator-via-search) or Tier 5 (reconstructed/approximate), **not** Tier 1/2 verified. Treat this as a directional screen, not investment research.

Nifty 50 — Hindalco Industries Limited (HINDALCO.NS)

Materials — Aluminium & Copper (Aditya Birla Group, parent of Novelis)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [5 of 10] Return bridge (N1): 2.0x / 5yrs = 14.9% p.a. -> EPS CAGR 16.8% x re-rating -1.6% | earnings share 111.7% Engine growth (5e): ROIIC 26.8% x RR 49.9% = 13.4% vs 16.8% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — not a scored concept for a commodity price-taker Industry phase (6A): INFLECTION — clears MQF governance: ACCEPTABLE (71.5/100) Price vs bridge: ABOVE Failed gates: Engine growth, Moat trajectory, Runway/profit pool, Variant perception, MQF governance ``

Why: Honestly rated a commodity price-taker — pricing power and network effects correctly RED (LME/MCX-linked primary metal; Novelis's contracts are structured to insulate it from, not reward it for, LME moves). Real, evidenced cost advantage from backward-integrated bauxite/alumina/power and Novelis's recycling scale (~5% of primary-smelting energy). Industry phase rated INFLECTION on real evidence (China hit its 45Mt aluminium capacity cap in 2025; EV-lightweighting demand), but explicitly flagged as a sector tailwind, not evidence Hindalco itself is gaining share. The one live overhang — 2025 Novelis Oswego plant fires, ~\$1.3-1.6bn FCF impact, guided Apr-Jun 2026 restart — is already disclosed and covered by multiple brokerages with an explicit consensus target range bracketing both the recovery and downside cases. No credible "market has it wrong" case, so N7 honestly unanswered.

Data quality: Well-sourced (Tier 3): consolidated revenue/PAT FY22-26, Novelis's ~60% revenue contribution, Oswego fire financial impact, promoter holding (34.7%, unencumbered). Flagged Tier 5: the entire balance-sheet-derived series; D/E readings across aggregators were mutually inconsistent and disclosed rather than reconciled.

Nifty Midcap 100 (sample) — Tata Elxsi Limited (TATAELXSI.NS)

Information Technology — ER&D / Design Engineering (Tata Group)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [3 of 10] Return bridge (N1): 2.0x / 5yrs = 14.9% p.a. -> EPS CAGR 17.6% x re-rating -2.3% | earnings share 116.7% Engine growth (5e): ROIIC -27.8% x RR 1.2% = -0.3% vs 17.6% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (79.0/100) Price vs bridge: ABOVE Failed gates: Engine growth, Payout ceiling, Moat trajectory, Runway/profit pool, Industry phase, Variant perception, MQF governance ``

Why: The most clearly negative case today, and treated honestly as such rather than softened. Real customer concentration (top-5 clients ~45% of revenue, dominated by JLR) transmitted the Aug-Sep 2025 JLR cyberattack and a broader auto-OEM R&D pullback straight into a ~700bps EBITDA-margin compression (29.5%→~22.5%) and a 20% FY26 PAT decline — a genuine, well-documented deceleration, not an artifact. Q1 FY27 shows real sequential recovery, but management's own guidance is only "high single-digit" growth while the stock still trades at a premium to ER&D peers (~34x vs KPIT ~28x, LTTS ~29x) even after a ~40% drawdown. The bear case looks basically correct on available evidence — inventing a variant-perception thesis here would have been dishonest, so N7 left unanswered.

Data quality: Well-sourced (Tier 3, cross-corroborated): FY23-26 revenue/PAT, quarterly margin trend, Q1 FY27 recovery figures, the JLR cyberattack timeline, customer concentration. Flagged Tier 5: FY22 figures and the entire balance-sheet series.

Nifty Smallcap 250 (sample) — Ratnamani Metals & Tubes Limited (RATNAMANI.NS)

Industrials — Stainless & Carbon Steel Pipes

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [5 of 10] Return bridge (N1): 2.5x / 5yrs = 20.1% p.a. -> EPS CAGR 25.6% x re-rating -4.4% | earnings share 124.3% Engine growth (5e): ROIIC 3.9% x RR 20.2% = 0.8% vs 25.6% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (68.5/100) Price vs bridge: ABOVE Failed gates: Engine growth, Runway/profit pool, Industry phase, Variant perception, MQF governance ``

Why: A real, specific hydrogen-compliant-pipe first-mover claim (India-first commercial production, RINA/ROSEN testing, a May-2026 Tata Steel MoU) exists — but with no disclosed revenue/order-book attribution, so it was treated as an evidenced capability, not a proven moat driver, and industry phase rated MATURE (cyclical), not INFLECTION. FY26's double-digit revenue decline reads as an ordinary capex-cycle dip on current evidence. Already trades at ~37x trailing EPS vs ~25-27x for peers Jindal Saw/Welspun Corp, near the top of its 52-week range — no credible mispricing case either way. A genuine earnings-quality flag: two sources gave conflicting FY25 PAT figures (Rs427Cr vs ~Rs578Cr, possibly standalone-vs-consolidated), disclosed rather than silently reconciled.

Data quality: Well-sourced (Tier 3): FY23/24/26 revenue+PAT, order book, net worth/debt (gearing ~0.07x), promoter holding (59.8%). Flagged Tier 5: FY21-22 figures and most of the balance-sheet series.

Nifty Microcap 250 (sample) — Garden Reach Shipbuilders & Engineers Limited (GRSE.NS)

Capital Goods — Defence Shipbuilding (Government-owned)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [6 of 10] Return bridge (N1): 2.2x / 5yrs = 17.1% p.a. -> EPS CAGR 20.6% x re-rating -3.0% | earnings share 119.0% Engine growth (5e): ROIIC 255.0% x RR -0.5% = -1.4% vs 18.9% required revenue-driven CAGR — FAILS (see note) Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate Industry phase (6A): INFLECTION — clears MQF governance: ACCEPTABLE (73.0/100) Price vs bridge: AT Failed gates: Engine growth, Runway/profit pool, Variant perception, MQF governance ``

Why: Real, strong moat evidence — security clearances and MoD-approved-vendor status, warship-class design IP (rated GREEN, the strongest bull case of the day) — with revenue/PAT nearly quadrupling FY22-FY26 (Rs1,758Cr→Rs7,002Cr / Rs190Cr→Rs748Cr). But GRSE trades in line with equally well-covered peers (Mazagon Dock, Cochin Shipyard) at ~37x earnings, and the biggest catalyst (a pending ~Rs33,000-40,000Cr Next Generation Corvette award) is already widely reported and likely partly priced in — no credible edge, N7 honestly unanswered.

Engine-growth note: the -1.4% "FAILS" result is a flagged artifact of GRSE's negative computed capital-employed (net worth heavily outweighed by a huge advance-funded cash pile from government contracts) — not a real capital-destruction signal. Order-book size itself was found contradictory across sources (Rs13,596Cr vs Rs15,324Cr) and disclosed rather than resolved.

Data quality: Well-sourced (Tier 3): 5-year revenue/PAT, debt-free status, promoter (government) holding 74.5%, delivery record. Flagged Tier 5: full EBITDA/balance-sheet series.

Today's summary

Band	Stock	Engine verdict	Compounder tier	Final call
Nifty 50	Hindalco	WEAK	WATCH	WATCH
Midcap 100 (sample)	Tata Elxsi	WEAK	WATCH	WATCH
Smallcap 250 (sample)	Ratnamani Metals	WEAK	WATCH	WATCH
Microcap 250 (sample)	Garden Reach Shipbuilders	WEAK	WATCH	WATCH

Fourth day running with no BUY/ACCUMULATE — and for the first time, all four landed at WATCH rather than a mix of WATCH/AVOID. Tata Elxsi is the notable exception to the week's pattern: it's not merely "already priced," it's a real, evidenced deceleration (JLR concentration risk materializing) that the agent reported honestly rather than downplaying. The other three continue this week's theme: real businesses, real moats in places, but no agent could construct a credible, evidenced case that the market has any of them wrong right now.

Full dossiers with per-field source tiers:

`multibagger/sample_data/daily/{HINDALCO,TATAELXSI,RATNAMANI,GRSE}.json`.